



Telco Customer Churn Analysis

Customer Retention & Business Insights

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Business Problem Statement

The Telecom Company is experiencing customer churn and needs to understand the factors contributing to customers leaving.

This analysis is aimed at helping the company identify patterns that might cause this churn and recommend data-driven strategies to improve retention

Dataset Overview:

The analysis was carried out using the Telco Customer Churn dataset.

Dataset Summary:

- Total customers analyzed: **7,043**
- Total columns: **21**
- Target variable: **Churn**
- Churned customers: **1,869**
- Retained customers: **5,174**
- Overall churn rate: **26.54%**

The dataset includes customer demographics, subscribed services, contract type, payment method, tenure, monthly charges, total charges, and churn status.

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Telco Customer Churn Dashboard

Customer Retention & Churn Insights

Data Source

Telco Customer Churn

Overview

Customers

Drivers

Insights

Billing

Support

Data

in • GH

Gender

All



7,043

Total Customers

Contract

All



1,869

Churned Customers

Internet Service

All



5,174

Retained Customers

Payment Method

All



26.54%

Churn Rate

Senior Citizen

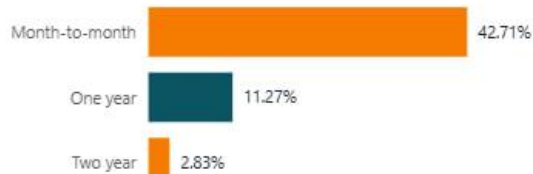
All



73.46%

Retention Rate

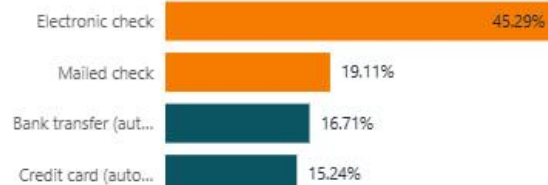
Churn Rate by Contract



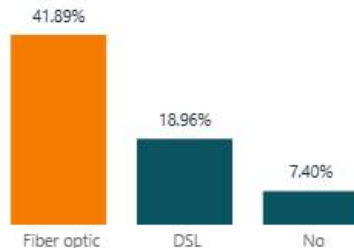
Churn Rate by Tenure Group



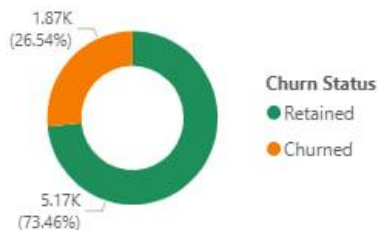
Churn Rate by Payment Method



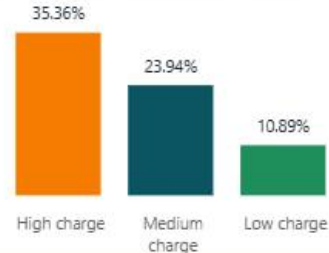
Churn Rate by Internet Service



Overall Churn Distribution



Churn Rate by Monthly Charge Group



Key Insights

Highest-risk customers are month-to-month users, new customers, fiber optic users, high-charge customers, and electronic check users.

Retention should focus on longer contracts, first-year support, pricing value, and easier automatic payments.



Key Findings

- Overall churn rate: **26.54%**
- Highest churn by contract: **Month-to-month — 42.71%**
- Highest churn by tenure: **0–12 months — 47.44%**
- Highest churn by charges: **High monthly charge customers — 35.36%**
- Highest churn by internet service: **Fiber optic — 41.89%**
- Highest churn by payment method: **Electronic check — 45.29%**

Business Insights :

The analysis shows that churn is higher among customers who are less committed, newer to the company, or paying higher monthly charges. Month-to-month customers are more likely to leave because they are not tied to long-term contracts

New customers are also at high risk, which shows that the first year is very important for customer retention.

High-charge and fiber optic customers may be leaving due to pricing concerns, service expectations, or perceived value.

Electronic check customers also showed high churn, while automatic payment users were more stable .



Business Recommendations

To reduce churn, the telecom company should:

- Encourage month-to-month customers to move to longer contracts through discounts, loyalty rewards, and service bundles.
- Strengthen first-year customer retention with onboarding support, welcome offers, regular check-ins, and faster complaint resolution
- Review pricing and improve value for high-paying customers.
- Improve support and customer experience for fiber optic users.
- Encourage customers to switch to automatic payment methods through simple setup processes and billing incentives.

Conclusion

Customer churn is mainly driven by **contract type, tenure, monthly charges, internet service type, and payment method.**

The company should focus on retaining high-risk customers by improving early customer experience, encouraging longer contracts, reviewing pricing value, and promoting automatic payment options.

These actions can help reduce churn, protect revenue, and improve long-term customer loyalty

